

Problem Set 7 – The DD Schedule

1) Suppose there is an increase in U.S. taxes (T).

i) Demonstrate the impact of this increase in taxes on the goods market (in the short-run) where aggregate demand (D) is on the vertical axis.

ii) Demonstrate the impact of this increase in U.S. taxes on the DD schedule (in the short-run) where the exchange rate ($E_{\$/F}$) is on the vertical axis.

2) i) Draw the DD schedule for Japan placing the correctly labeled exchange rate ($E_{¥/\$}$ or $E_{\$/¥}$) on the vertical axis and Japanese output (Y_J) on the other axis.

ii) Then, for each of the following explain whether you would shift the DD curve to the LEFT, RIGHT or NO SHIFT.

Your short explanation should reference the definition that

$$D = C(Y-T) + I + G + CA(EP^*/P, Y-T)$$

- a) An increase in spending by the Japanese government
- b) Japanese consumers decide they want to consume less and save more
- c) There is an exogenous increase in prices in Japan.
- d) There is an exogenous increase in the exchange rate - $E_{¥/\$}$
- e) Foreign sanctions reduce the propensity for foreign residents to purchase Japanese goods.